



The Short-Term Rental Rule:
**How to Reduce Taxes
Like the 1 Percent**

Table of Contents

03	Chapter 1	Ready to Chase the American Dream
05	Chapter 2	Taxes, Taxes, and More Taxes
07	Chapter 3	Getting Fed Up
09	Chapter 4	Discovering Tax Strategy
11	Chapter 5	A Change of Perspective
14	Chapter 6	The RRAD Method: Overview
15	Chapter 7	(R) Run a Real Estate Business
16	Chapter 8	(R) Reach for Real Estate Professional Status or Short-term Rentals
20	Chapter 9	(A) Accelerate Depreciation
22	Chapter 10	(D) Defer Capital Gains
25	Chapter 11	How the Robertsons Implemented the RRAD Method
28	Chapter 12	The Robertson's Results
30	Chapter 13	Working with a Professional Tax Strategist
31	Chapter 14	Getting Started



CHAPTER 1

Ready to Chase the American Dream

Matt and Amy Robertson are a married couple from the state of Texas. They first met in college while Matt was studying software engineering and Amy was studying nursing.

While they were dating in college, Matt and Amy noticed that they had a lot of similarities. For example, they both had big dreams such as buying a home, starting a family, retiring in their fifties instead of their sixties, being able to take multiple vacations per year, owning luxury vehicles, becoming financially free, and eventually having millions of dollars in the bank.

They also wanted to be able to easily afford their children's college educations and weddings if they ended up having children. As the end of their college years approached, Matt and Amy were ready to chase the American dream together, and they were prepared to work like crazy to reach their goals!

As soon as they finished college they hit the ground running and started applying for jobs. Within two months after graduation, Matt and Amy both successfully secured jobs. Matt got a job as a software engineer and Amy got a job as a registered nurse (RN) at a local hospital.

Matt's starting salary: **\$130,000**

Amy's starting salary: **\$75,000**

By securing high-quality jobs quickly, Matt and Amy got a great start on their journey to reach their financial goals and they both felt extremely optimistic about their future.

But... they both had a significant amount of student loans. In fact, Matt had \$120,000 and Amy had \$80,000.

So, they definitely had an uphill climb to face, and they had their work cut out for them if they were going to achieve everything that they wanted to achieve from a financial perspective.

CHAPTER 2

Taxes, Taxes, and More Taxes

After working in their respective jobs for a few years, Matt and Amy had grown their savings to just north of \$150,000. They had also paid off more than \$90,000 from their student loan debt.

After reaching these milestones, they thought that they were in a good enough place to pay for a wedding. So, they decided to get married, and they did!

Soon after getting married, they also decided that it was time for them to get a mortgage and buy a house. They found the perfect property and they finally were able to have their own home! However, taking on a mortgage added significantly more debt to their total debt load, and they still had about \$110,000 of student debt to pay off. They also had all of their other bills to worry about as well.

Every year, Matt and Amy did their best to be financially responsible and get ahead. They both worked at least forty hours a week and made the sacrifice of maxing out their 401ks every year because they made a promise to each other that they were going to get to retirement fast. They also tried to put as much money into their joint savings account as they could.

By the time they were 30 years old, Matt and Amy had both been promoted several times and they had two children. Matt was now making \$200,000 per year, and Amy was making \$120,000.

But, like many Americans with good jobs earning six figures, Matt and Amy found that no matter what they did, the government always seemed to take a **huge** percentage of their income through taxes every year.

In fact, with a combined income of \$320,000, Matt and Amy had to give roughly \$74,000 to Uncle Sam every year for federal income taxes. This was significantly more than they would have liked to.

Luckily, because they lived in Texas, they did not have to pay state income taxes. However, they had other taxes to pay such as property taxes, which were also quite significant. Everywhere they turned it just seemed like they ran into taxes, taxes, and more taxes.

Because they were paying so much money in taxes, they had a very difficult time accumulating the type of wealth that they really wanted and reaching their financial goals.

They were also struggling to take a vacation every year and enroll their children in various programs. Further, Matt really wanted to buy a Tesla, but instead, he was stuck driving a beat-up Honda Civic that had definitely seen better days. But, he was a very frugal person and didn't want to overextend himself financially.

Even though they were relatively financially secure, they felt like they were stuck and they just didn't know what to do to get to the next level of wealth.

One year, Matt decided to work extra hard to try to qualify for a bonus of \$28,000 in restricted stock units that his company offered to top performers. He knew that this would require him to work much longer hours and deal with significantly more stress. But he didn't care. He really wanted to impress his boss and get the extra money.

After working hard all year, Matt became eligible for the bonus! This bonus was **extremely** significant to him. After all, it was the equivalent of 14 percent of his annual salary, and he had put in many long days and overtime hours in order to earn it. In fact, he had regularly worked 50-60 hours per week.

But, despite working so hard to earn his bonus, he didn't even know if he should take it. After he qualified for it, he realized that the government might end up just taking a large percentage of it and his tax bill might get even higher!

Matt shared these concerns with his wife. His concerns about his bonus only added to the concerns that they already had about paying so much in taxes every year. In their distress, Matt and Amy turned to their CPA for advice. They wanted to know if there were any techniques they could use to lower their taxes so that they would be able to get the full benefit of Matt's bonus and stop having to pay so much in taxes.

But their CPA just recommended the same old things: maxing out 401ks, making charitable contributions, writing off mortgage interest and property taxes, and taking other basic deductions. Matt and Amy had already been doing these things for years and did not find them to be very helpful.

Their CPA also recommended deducting medical and dental expenses, but Matt and Amy were both healthy so this advice was not helpful either.

The couple asked if there was anything else that they could do to lower their taxes but their CPA said, "No, sorry. This is just how the rules work."



CHAPTER 3

Getting Fed Up

At the end of the year, Matt decided to take his bonus, despite the fact that his CPA could not provide him and his wife with significant tax-saving tips.

Sure, enough, when he paid his taxes for that year, he ended up having a massive tax bill and nearly all of the money that he earned with his bonus was canceled out because he had to pay more in taxes.

Matt spent the next few weeks disappointed that he had to give so much money to the IRS. As the weeks passed, he started to feel extremely fed up. Although he had listened carefully to his CPA's advice and had done everything he was supposed to, he just felt like taxes were getting in the way of him and his wife reaching their financial goals.

So, he stopped putting in so much extra time at work and instead found himself at home more and more. His bosses noticed this change in his behavior and started to ask him questions like "Matt, don't you want to go for the bonus again this year? Why aren't you working as many hours as you did last year?"

The truth was, he was sick and tired of working so hard just to fork over so much money to Uncle Sam every year.

One day, while contemplating his situation, Matt started to think about how his CPA had said that nothing could be done to lower his taxes other than what he had already been doing and that that's just how the rules worked.

The more he thought about this statement, the more irritated it made him. He just couldn't agree with it.

After all, for many years, he had heard that a lot of wealthy citizens paid significantly less in taxes than he and his wife did despite making much more money. He even remembered hearing that people like Donald Trump, who were billionaires, paid little to no taxes!

He wasn't sure how this could even be possible. But, there just had to be something else that he could do to lower his taxes so that he and his wife could finally improve their financial situation. He was completely sick of going to his CPA and getting advice that never really seemed to make much of a difference.

Deep down, Matt also instinctively knew that he would have a really difficult time reaching his goals if he stayed on the traditional path that the system had put him on.

So, he decided to take action - enough was enough! He began to investigate if it was true that wealthy Americans really did pay less in taxes, and if so, how exactly they were pulling this off.

He started scouring the internet to learn the financial moves that the wealthy made and to find tax loopholes, tricks, and strategies that he could use to minimize the hefty tax bill that he and his wife were stuck paying every year.



CHAPTER 4

Discovering Tax Strategy

After performing hours of research online, Matt started to find some key information about wealthy people.

For example, he discovered that many wealthy people:

- Have a variety of income streams
- Own businesses
- Invest in real estate
- Have CPAs and tax strategists

Matt was very intrigued by the concept of a “tax strategist.” For his whole life, he had thought that a CPA was the only tax professional who could help him with his taxes.

So, he researched more and more about tax strategists and what they do. Matt was amazed to find out that tax strategists actually help to create custom tax strategies that are designed to minimize people’s taxes using a wide variety of advanced techniques.

He learned that tax strategists, which are also known as “Enrolled Agents,” or EAs, are different from CPAs and that Enrolled Agent is actually the highest and most advanced tax credential issued by the IRS.

His research informed him that CPAs mostly focus on accounting and filling out paperwork as opposed to generating powerful tax strategies designed to amplify tax savings.

Now that he knew the difference between CPAs and tax strategists, it started to make sense to him why so many wealthy people had tax strategists and how they were able to save a lot more in taxes as a result.

Matt spent time over the next several days researching tax strategy. He learned that one of the ways that EAs help people save money in taxes is by getting them to invest in real estate.

Curious about how this worked, Matt Googled this topic heavily. He eventually came across a business called “Tax Alchemy.” This business had a course that he could take that explained exactly why real estate can help people save in taxes and how to use real estate correctly to generate tax savings.

Matt decided to enroll in this course, and he dove right in. The Tax Alchemy course taught him that there are special tax rules for people who own rental real estate or run other types of real estate businesses. These special rules allow people who use them to reduce their taxes by an **incredibly large amount**.



CHAPTER 5

A Change of Perspective

Over the next few days, Matt continued to progress through the Tax Alchemy course and learned more about using real estate to lower taxes. He started to grasp some extremely important concepts and he could feel his perspective starting to change.

For example, he learned about all of the following:

REAL ESTATE LOSSES

Real estate business owners and investors generate “losses,” through their real estate business activity, which are just expenses that they have to pay to maintain their businesses. Real estate losses can include:

- depreciation
- maintenance
- repairs
- management fees
- Interest on mortgage loans and more

DEDUCTING REAL ESTATE LOSSES

Real estate losses can be deducted from both income that the real estate business generates and other sources of income such as income earned from a normal W-2 job or 1099 contracting work. These deductions can be enormous. Some real estate investors are able to reduce their taxable income by 50%, 60%, 70%, or even more by deducting their real estate losses!

DEPRECIATION

Depreciation is the wear and tear that properties go through over the years. The government allows real estate investors to get depreciation deductions for the entire cost of their buildings over time! For residential real estate, the property values can be deducted over a period of 27.5 years, and for commercial buildings, the time period is 39 years.

PAPER LOSSES

Real estate investors can create “paper losses” on their tax returns to help them deduct depreciation expenses. “Paper loss” are losses that occur on paper but that might not have occurred in real life yet. Paper losses allow real estate investors to deduct depreciation expenses before the depreciation actually occurs.

Matt's Sudden Realization

While taking the Tax Alchemy course, one overarching fact started to become clear to Matt; **real estate is one of the best tax-saving tools that exists and the depreciation deduction is the main reason why.**

But, he had to make sure that he understood this correctly. So, he started doing more research. On YouTube, he found videos of many famous real estate investors such as Robert Kiyosaki, author of *Rich Dad Poor Dad* saying the same thing that the Tax Alchemy course was saying - the rich pay very little in taxes because they invest in real estate and deduct depreciation expenses.

Matt also had a friend who had an uncle who was a successful real estate investor. So, he asked his friend if he could speak to his uncle. His friend set up a call between Matt and his uncle. On the call, Matt peppered his friend's uncle with questions about reducing taxes with real estate. The uncle confirmed everything that the Tax Alchemy course was saying and told Matt that he, personally, was able to reduce his taxes by about 80% by investing in real estate.

Once he heard this, Matt knew that it had to be true. The uncle explained how being able to deduct depreciation expenses for his rental properties was extremely helpful for reducing his taxes because it allowed him to get hundreds of thousands of dollars worth of deductions for each of his properties. He used these deductions to offset his active income from his normal job, and this dramatically lowered his overall taxable income and thus taxes.

After he hung up the phone with his friend's uncle, Matt decided right then and there that he wanted to start using real estate to lower his taxes.

But, to succeed, he was going to have to follow the rules of the wealthy.

To fully understand the rules of the wealthy, Matt finished the Tax Alchemy course. But he knew he was going to have to take it one step further, so he scheduled a call with the Tax Alchemy team.

By completing the course and speaking with the Tax Alchemy team, Matt learned that Tax Alchemy had a simple method for understanding and implementing the rules of the wealthy to leverage the power of real estate to lower taxes. This method is called "The RRAD Method."

The RRAD Method: Overview

The RRAD method is a four-step process that anyone can use to get into the real estate game and take advantage of real estate deductions to lower taxes.

RRAD stands for:

- Run a Real Estate Business
- Reach for Real Estate Professional Status (REPS) or Short-term Real Estate
- Accelerate Depreciation
- Defer Capital Gains

Every step of the RRAD method was included because it helps people get and stay on the path to accessing the highest possible amount of real estate deductions.

When it is used correctly, the RRAD method can actually reduce taxes so much that some people find it shocking. The fact is that the US tax code provides real estate business owners with a number of **major** tax advantages. Unfortunately, many people who are not yet wealthy, or who have never spoken to a tax strategist are completely unaware of these rules.

The RRAD method levels the playing field by providing everyone with easy-to-follow steps that allow them to take full advantage of the same tax reduction strategies that multimillionaires and billionaires use on a regular basis.

Here is a closer look at the RRAD method and all the information Matt learned about it that he would use to help him start his own real estate business.

CHAPTER 7

Run a Real Estate Business

The first step of the RRAD method is “R” run a real estate business. This is because many of the most powerful real estate deductions are reserved only for people who run real estate businesses.

There are many different types of real estate businesses. One of the most popular and easiest types of real estate businesses to start is a rental real estate business.

A rental real estate business involves buying rental property (usually with a loan) and renting it out to customers or tenants. The rental property does not have to be large such as a condominium complex. It can be as small as a studio apartment that can be listed for rent on a site like Airbnb.com.

Many real estate investors prefer to begin by purchasing and renting out a duplex or a triplex. However, a lot of high-net-worth individuals and families prefer to start with a larger real estate investment such as an apartment building with many units, or even a condominium complex.

The best way to start a rental real estate business is to create two different LLCs. The first LLC holds the rental property and the second LLC is used to manage the rental property.

CHAPTER 8

Reach for Real Estate Professional Status or Short-Term Rentals

The second step of the RRAD method is “R” reach for “real estate professional status (REPS)” or short-term rentals.

Real estate professional status is a special status the IRS gives to people who work in the real estate industry and meet certain requirements. Short-term rentals are rental properties that are rented out for 7 days or less.

WHY YOU HAVE TO CHOOSE EITHER REPS OR SHORT-TERM RENTALS

The reason why you have to choose either real estate professional status (REPS) or short-term rentals is that if you want to offset your “active income” with real estate, these are the only options you have.

Active income is income that is earned through labor such as W-2 income from a normal job, or 1099 income from independent contracting or freelancing, etc. Real estate losses can also be used to offset capital gains income, retirement income, and more.

THE CRITERIA TO MEET REAL ESTATE PROFESSIONAL STATUS

The criteria for REPS was added to the tax code in 1994 under Section 469(c)(7). The criteria are as follows:

- Over half the professional services that a person performs during the year have to be in his or her real estate business.
- The person must work **at least 750 hours** per year during the tax year in real property trades or businesses, which include real estate development, real estate redevelopment, real estate construction, real estate reconstruction, real estate acquisitions, real estate conversion, rental real estate, rental operations, rental management, leasing, or brokering.
- The person must materially participate in these activities.

Most people do not qualify as real estate professionals under these rules. So, short-term rental real estate is the better option for the majority of people who want to use real estate to offset active income.

WHY OFFSETTING ACTIVE INCOME IS SO IMPORTANT

Offsetting active income is so important because it reduces taxable income by so much that it makes an incredible amount of difference for taxpayers.

Many people think that if they make a small real estate investment, they will only be able to generate a small amount of cash flow such as \$200 per month. However, **real estate losses deducted from W-2 and 1099 income act like cash flow because they dramatically reduce the amount of taxes owed on active income.**

For example, instead of cash-flowing \$200 per month with a small real estate investment, a rental property owner would more likely be able to cash-flow the equivalent of \$500 per month, \$800 per month, or maybe even \$1,000 per month or more once real estate losses deducted from his or her active income are factored in!

In times of higher interest rates and lower expected cash flow, the tax savings that real estate provides are especially important and need to be considered.

WHAT REAL ESTATE LOSSES CAN BE USED TO OFFSET ACTIVE INCOME?

All of the following rental real estate losses can be used to offset active income:

- Maintenance
- Repairs
- Management fees
- Interest on mortgage loans
- Depreciation
- ... and more

WHY THESE REAL ESTATE RULES EXIST

Prior to 1986, all people who invested in rental real estate were allowed to deduct their rental losses from their active income regardless of whether they were real estate professionals or had short or long-term rentals.

But, after conducting thorough research on tax returns, the government found that many wealthy Americans such as lawyers and doctors were investing in real estate and using their losses to offset **huge** portions of the income that they earned from their jobs. The government didn't like this and decided to intervene.

In 1986, a law was passed called the “Tax Reform Act.” This law changed the tax rules for rental real estate by establishing “passive activity loss rules” which limited the ability of passive losses generated with a rental real estate business to be able to flow over and offset W-2 or 1099 income.

This law added Section 469 to the tax code. Section 469 divided business activity into two different categories: “active business activity” and “passive business activity.”

Rental real estate income was classified as passive business activity, which meant that rental real estate losses such as depreciation could no longer be used to offset income earned from active business activity. Instead, they could only be used to offset income from passive activity.

Many high earners and real estate investors saw their taxes increase significantly in the late 1980s after the new tax rules went into effect because they could no longer use their rental real estate losses to offset their W-2 or 1099 income. This resulted in a lot of anger.

After several years of intense lobbying and political pressure, an exception was created for the passive activity loss rules, which was the real estate professional status (REPS) that was discussed earlier.

In addition to the real estate professional status, short-term real estate was also included as an exception to the passive activity loss rules under Reg. Section 1.469-1T(e)(3)(ii)(A).

MATERIAL PARTICIPATION

To be eligible to use short-term rental real estate losses to offset active income, the real estate investor must “materially participate” in the short-term rental business. There are 7 criteria laid out by the IRS for what counts as material participation. Only one has to be met.

Of the 7 requirements, the easiest and most straightforward to meet is spending at least 100 hours of personal service time in a real property trade or business, and participating in it more than any other person does.

So, people who qualify as real estate professionals can use REPS to deduct real estate losses from active income. People who don’t qualify for REPS can use short-term rentals to deduct real estate losses from active income.

SHORT TERM RENTAL OPITONS

Thanks to platforms such as Airbnb and VRBO, short-term rental properties can be listed in a matter of hours, and all different kinds of properties can be used as short-term rentals on these sites. For example, people commonly list all of the following types of properties for rent on Airbnb, VRBO, and other similar sites:

- Rooms in houses
- Apartments
- Cottages
- Condos
- Townhouses
- Houses
- Boats
- ... and much more

Some people get extremely creative with their short-term rental listings. In fact, sometimes there are tree houses or properties made to look like hobbit houses from *Lord of the Rings* or even spaceships on these platforms!



CHAPTER 9

Accelerate Depreciation

Step 3 of the RRAD method is “A” accelerate depreciation.

Many different factors can cause a building to depreciate. For example, the roof might start leaking and deteriorating, the electrical wiring might become faulty, the floors might get damaged, etc.

In most circumstances, depreciation is going to be the **single largest deduction** that rental real estate owners are going to be able to get.

The standard way that the IRS lets rental property owners deduct depreciation is through a method called “straight-line depreciation.” With straight-line depreciation, rental property owners can deduct an equal amount each year until the full value of the property has been deducted.

However, most real estate investors do not want to wait for decades in order to be able to claim the full depreciation deduction for their rental properties. The good news is that there is a way to accelerate depreciation so that the bulk of the depreciation deductions allowed by the IRS can be claimed **much sooner** than 27.5 years for residential buildings or 39 years for commercial buildings.

COST SEGREGATION STUDIES

Depreciation can be accelerated if a “cost segregation study” is performed. A cost segregation study is a study to identify the value of building features such as light fixtures, appliances, electrical wiring, flooring, exterior improvements, etc. that are a part of the rental property, but that are not integral to its structure.

The IRS allows rental property owners to accelerate depreciation for these assets since they tend to wear out and break down faster than the actual steel beams and other structural elements of the building.

So, what this means is that when cost segregation studies are performed, rental property owners can create paper losses that can be used to accelerate depreciation.

Using cost segregation studies typically allows real estate investors to deduct up to 20-30% of their building's value in the first year! So, for example, if a property was purchased for \$300,000, this means that \$60,000-\$90,000 could be deducted in the first year by accelerating depreciation!

This is extremely significant and helpful. Accelerating depreciation enables real estate investors to save a substantial amount of money in taxes right after they buy their rental properties and start renting them out.

One of the main reasons why this is so advantageous is because it frees up capital for investors that can then be deployed to purchase new real estate investments. Being able to accelerate depreciation helps investors scale their rental real estate business much faster than they might be able to otherwise, and that is why this tax rule is so beneficial.

LAND VALUE VS. BUILDING VALUE

When evaluating property to invest in, investors need to consider the land value and the building value. For tax purposes, only the building value can be depreciated. This is because, unlike buildings, land doesn't depreciate.

Many real estate listing websites such as Trulia, Redfin, and Zillow include property tax information at the bottom of their pages for their property listings that have the building and land value figures. Real estate investors can use this information to find the building value and the land value for properties.

The higher the percentage of a property that is building value, the more depreciation that the investor will be able to deduct relative to the total property. Generally speaking, it is wise for real estate investors to look for properties that have at least 65-70% of the total property comprised of building value.

There are areas of the country and specific states where it is significantly easier to find these types of properties.

Defer Capital Gains

The fourth and final step of Karlton Dennis's RRAD method is "D" defer capital gains.

Capital gains taxes are taxes that are incurred when a person sells a capital asset such as a rental real estate property for a price higher than the one he or she paid for it, thereby generating a profit.

Short-term capital gains taxes are also taxed at ordinary income rates and can be as high as 37 percent, depending on income. Long-term capital gains taxes can be as high as 20 percent. A capital gain is considered to be "short-term" if the underlying asset is held for less than a year before the sale occurs. It is considered "long-term" if the underlying asset is held for more than a year before the sale occurs.

Deferring capital gains taxes prevents real estate investors from owing capital gains taxes on properties they sell in the short term and it puts them off into some point in the future. The best way to defer capital gains taxes for profits on rental real estate property sales is through something called a "1031 exchange"

THE 1031 EXCHANGE

A 1031 exchange is a process in which real estate investors sell their rental real estate properties but do not hold onto the proceeds from the sale on a long-term basis. Instead, they quickly reinvest the proceeds into another “like-kind property” within 180 days.

Like-kind properties are two properties that are similar in nature regardless of grade or quality. For example, an apartment building is similar in nature to another apartment building and is therefore a like-kind property.

When a person completes a 1031 exchange properly within the time limit, capital gains taxes are deferred until he or she sells the new property they acquire. But... the person can just do another 1031 exchange when he or she wants to sell the property and defer the capital gains taxes again!

It is possible for a person to keep swapping investment properties throughout his or her entire life until the day that he or she dies. In fact, there is an expression within the real estate investing world: “Swap until you drop.”

Many real estate investors use this very strategy to defer capital gains taxes on their real estate investments for their entire lives. They simply keep acquiring properties and using 1031 exchanges throughout their entire lives to completely avoid paying capital gains taxes. There is no limit to the amount of 1031 exchanges a person can do in his or her lifetime, and they can be done in any state in America.

WHAT ABOUT DEPRECIATION RECAPTURE TAXES?

Depreciation recapture taxes are taxes that a real estate investor pays on the amount of depreciation he or she claimed for his or her rental property as a deduction.

Accelerated depreciation recapture taxes are paid at ordinary income tax rates that can go as high as 37% for high earners. Unfortunately, many real estate investors do not know about

depreciation recapture taxes and get hit with them by surprise when they go to sell their rental properties.

If they are not deferred, then depreciation recapture taxes can cancel out some of the financial benefits that accelerating depreciation on properties at an earlier date provides. However, just like capital gains taxes, depreciation recapture taxes can be deferred with a 1031 exchange!

CAPITAL GAINS AFTER DEATH?

Usually, when someone who owns rental real estate dies, he or she passes the properties onto beneficiaries. Many people wonder - won't the beneficiaries just have to pay all of the accumulated capital gains and depreciation recapture taxes that have been deferred by the person they inherited the assets from when they sell the property?

Well, the answer is NO.

There is actually a tax rule called "step-up in basis" that prevents the beneficiaries from getting saddled with years' or even decades' worth of capital gains taxes on rental real estate. The step-up in basis rule allows the cost basis of an inherited asset to be adjusted to its fair market value on the date of the decedent's death. Then, capital gains taxes start to be accumulated at this **new** value.

The step-up in basis rule is one of the most powerful and advantageous tax rules for real estate investors in the entire US tax code.

So, step-up prevents heirs who inherit property from getting absolutely destroyed by capital gains taxes. Many of the wealthiest American families build and preserve generational wealth by using 1031 exchanges and step-up in basis to acquire and pass on rental real estate properties while minimizing both depreciation recapture and capital gains taxes.



CHAPTER 11

How the Robertsons Implemented the RRAD method

After Matt Robertson finished Karlton Dennis' Tax Alchemy course and gained a full understanding of the RRAD method, he shared the information with his wife, Amy. Amy also took the full Tax Alchemy course in order to master the concepts. After Amy finished the course, the Robertsons decided to try out the RRAD method.

Once they made the decision to move forward, they were extremely excited to get started. Here is how they implemented the RRAD method to lower their taxes with real estate.

STEP 01

RUN A REAL ESTATE BUSINESS

The Robertsons implemented Step 1 of the RRAD method by deciding to start a real estate business.

Neither one of them knew very much about real estate, but they believed that with a little effort and some grit, they would be able to figure out everything that they needed to know to make it work. Plus they knew that they could always contact Tax Alchemy to get assistance if they needed it.

They were a little nervous to get started, but they were determined to lower their taxes and reach their financial goals! So, they chose to start a real estate business. Just as Tax Alchemy recommended, they opened two LLCs, one to hold their real estate assets, and one to manage them.

STEP 02

REACH FOR REAL ESTATE PROFESSIONAL STATUS (REPS) OR SHORT-TERM RENTALS

Matt and Amy Robertson knew that they would not be able to qualify as real estate professionals since neither of them worked in the real estate industry for at least 750 hours per year. Therefore, using REPS to deduct real estate losses from active income was out of the question.

From the Tax Alchemy course, they knew that due to the short-term rental rule under Reg. Section 1.469-1T(e)(3)(ii)(A) of the Internal Revenue Code, that they could use losses from short-term rental properties to offset active income and thus dramatically reduce their taxes.

So, they decided to buy a duplex for \$500,000 and rent out the two units on Airbnb as short-term rentals. They worked with Karlton Dennis's team to help them find the perfect property in the perfect area that had 80% of the property value comprised of building value, which would help them maximize their depreciation deduction.

The duplex appraised at \$510,000, right before closing, which meant they had already \$10,000 in equity before the deal was finalized. Their lender recommended they put down 20% to purchase the property, which came out to \$100,000. They financed the rest with a mortgage. The Robertsons also invested (\$22,000.00) of their own money into the property for furnishing cost. This included purchasing beds, couches, mattresses and more. Once they completed the renovations, they listed the two different units as individual Airbnbs. All in cost so far is \$122,000.

The Robertsons found that their Airbnb rentals generated roughly \$600.00 of cash flow per month for each property. This provided a total of \$1200 of extra cash flow per month after paying their expenses. They enjoyed having this extra cash flow. But, to take full advantage of the short-term rental rule, they started to add up all of their rental real estate losses such as depreciation, mortgage interest, and even their own management fees for managing the property themselves. By using the RRAD method they were gearing up to create a significant paper loss. Their goal this year was simple, let's manage this Airbnb enough to use these losses to offset their active income when tax season rolled around.

STEP 03

ACCELERATE DEPRECIATION

After buying their duplex, the Robertsons decided that they wanted to accelerate depreciation to get large tax deductions for their property in the first few years.

So, they contacted Tax Alchemy to have a cost segregation study performed. Tax Alchemy has a team of experts who conduct these studies for its customers. Members of the Tax Alchemy team went out to Matt and Amy's property and performed the full cost segregation study in accordance with all rules and regulations.

This made them feel so much better because most professionals just teach the strategy versus including the actual implementation.

After the cost segregation study was performed, the Robertsons realized that they would be able to deduct 20% of their property's cost in the first year.

The deductions for the next several years would also be substantial, and then they would eventually get smaller over time. Accelerating depreciation helped them to keep significantly more money in their pockets, which they were very happy about!

It also helped them to have more capital that they could use to invest in additional properties in the coming years.

STEP 04

DEFER CAPITAL GAINS TAXES

The Robertsons have not yet sold their rental property. However, they have created a plan to defer capital gains taxes on it when they do.

They will hold the property for five years. Then, they will use a 1031 exchange to sell their duplex and buy a higher-end like-kind rental property.

They will follow all of the rules for completing the 1031 exchange successfully including having a third-party hold the proceeds from the sale in escrow and buying the new property within 180 days of the sale of the original one.

The Robertsons will use 1031 exchanges to defer capital gains taxes and depreciation recapture taxes for any additional rental properties they purchase in the future as well. Their goal is to defer capital gains taxes until their deaths.

Then, once they die, they will pass their rental properties on to their children. They will use the step-up in basis rule to prevent their children from having to pay hundreds of thousands or potentially even millions of dollars of capital gains and depreciation recapture taxes.

A background image showing a close-up, slightly blurred view of several US dollar bills, including a \$100 bill and a \$50 bill, with the focus on the texture and patterns of the currency.

CHAPTER 12

The Robertson's Results

The Robertsons were able to accelerate \$89,760.00 in year 1 depreciation by implementing the cost segregation study on their new duplex. This is because they were able to use 22% of the building value as year 1 tax write off. Because Matt and Amy purchased furniture for the airBnB rentals, the entire cost of the furniture could be written off in year one as well. This brought the Robertsons total depreciation losses to a whopping \$111,760.00! Karlton shared with Matt on their tax planning call "Imagine receiving over \$100,000 in write offs every year, Matt". This was something He was not used to hearing from a tax professional! This motivated Matt to build a legacy for his family just as he had learned from other wealthy families he had studied.

The Robertsons were absolutely blown away by the amount of rental losses that they were able to generate by investing in just one short-term rental property. In their first year, they were able to drop their taxes to a combined \$34,538.00, from the previous \$74,000.00 they had been paying prior to having a rental. The difference in taxes was \$39,462.00.. As a result of their tax planning their taxable income was reduced from \$320,000 to now \$173,594.00 once their 401k contributions were factored in. This resulted in a whopping \$42,462.00 federal tax refund that was received after filing their 2022 taxes.

Because the Robertsons were able to save nearly \$40,000 in taxes and generate an additional \$1200.00 a month in tax free cash flow, they found that their financial situation started to change dramatically for the better.

In fact, in the first year that the Robertsons implemented the RRAD strategy, they were able to go on a few additional vacations per year instead of their usual one - or zero. By using their management company they were able to book additional flights to see potential airBnb properties they could purchase for the upcoming 2023 tax year. They even attended a few AirBnB conferences to learn how to scale their business. They enjoyed being able to deduct their air-fare, hotel, and meals as a part of their new rental business they created. This gave them more of their hard earned money back in the form of tax deductions.

Additionally, Matt was able to sell his old Honda Civic and buy a Tesla Model Y! Matt was able to use the Tesla as 50% business and 50% personal use. This allowed him to write off 50% of the cost of the vehicle on his tax returns over the course of 5 years. This was another depreciation deduction that Matt learned how to take by following the Tax Alchemy program.

Fast forward to 2023, now, Matt and Amy are well on their way to reaching their other goals of becoming financially free, being able to retire early, and being able to comfortably afford other large expenses like their children's weddings.

Matt and Amy Robertson still have a ways to go before they reach all of their goals, but now they are no longer STUCK. Using the RRAD method has given them the power that they need to start keeping significantly more of their income and grow it faster over time.

The RRAD method has already dramatically changed their lives for the better, and Matt and Amy plan to keep using it for the rest of their lives. They feel like they are finally in control of their financial future, and that they are no longer being held back by the system.



CHAPTER 13

Working with a Professional Tax Strategist

Now that we have discussed all four steps of the RRAD process at length and how the Robertsons implemented them, it's time to talk about how YOU can use the RRAD method too.

The best way to implement Tax Alchemy's RRAD strategy is to work with a tax strategist who can help you with a few key parts of the RRAD process. A great tax strategist, especially one who specializes in real estate taxes can help you to:

- Choose the right state or area to invest in
- Choose the right property to buy
- Perform the cost segregation study
- Help you set up your 1031 exchange
- Make sure you avoid depreciation recapture taxes properly
- Ensure that all of your properties get stepped-up in basis correctly when you pass them on or inherit them

Without a tax strategist working with you, it will be very difficult to get the most out of the RRAD process. Also, it is crucial to work with an EA as opposed to a CPA when you are implementing the RRAD method.



CHAPTER 14

Getting Started

Now that you have learned all of the key tax information and the full RRAD strategy, it is time to start taking action so that you can start building incredible wealth for your family right now. If you are ready to reach financial freedom or to dramatically build upon the wealth that you already have, then the first thing that you should do is book a free consultation with Tax Alchemy.

You can book your free consultation **here**.

During your free consultation, the Tax Alchemy team will tell you exactly how they will be able to guide you through the process of setting up your rental real estate business and handling all of the key tax aspects for you. They can help you select the right properties, perform cost segregation studies, set up your 1031 exchanges, and much more.

When you are starting your rental real estate business, having the right tax professional to guide you through the process is invaluable.

FINAL WORDS

We have reached the end of the book. Congratulations on making it this far. Now, you should have a clear understanding of how to use Tax Alchemy's RRAD strategy to take advantage of the most important real estate tax advantages to build and preserve your wealth over time!

Real estate is one of the most popular ways that high-net-worth individuals earn tax-free wealth and pass their wealth on to their beneficiaries after death.

The bottom line is that if you can start implementing the RRAD method, then you, too, can benefit enormously from all of the real estate deductions, tax breaks, and loopholes that exist within the U.S. Internal Revenue Code for real estate investors.

There is no time like the present to get started. Remember taking action helps to build momentum and momentum leads to results.

The Tax Alchemy team is always available to you if you need help implementing any of these tax strategies.

Hopefully, you enjoyed the book and you have a much better understanding of how to leverage the power of real estate investing to reduce taxes and grow wealth. If you want to learn more, you can also take the full **Tax Alchemy Course**, which goes even deeper into real estate tax strategies.



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